

LOGISTICS PUSH

Amit Tandon, CEO & Managing Director of supply chain and logistics provider Asia Shipping India, says the role of waterways in logistics services is projected to expand substantially over the next 25 years as the Indian government strives to position the country as a global leader in maritime innovation and growth.

He adds that the significance of the Maritime Amrit Kaal Vision 2047 is underscored by the monumental investment commitments witnessed during the Global Maritime India Summit 2023. Memoranda of Understanding (MoUs) worth about ₹10 lakh crore were inked, heralding a new era of port modernisation, green initiatives, and infrastructural development.

“These investments, coupled with public-private partnerships (PPPs) and targeted policy interventions, are poised to revolutionise India’s maritime landscape, bolstering its position as a global maritime powerhouse,” says Tandon.

In a further push to modernise the maritime sector, the government has launched the National Logistics Portal-Marine (NLP Marine). India’s port-led industrialisation scheme aims to reduce logistics costs by locating industries near ports under the Sagarmala initiative.

It’s not just coastal trade that the government is looking to spur. The Amrit Kaal Vision also focusses on the inland waterways sector, with an ambitious plan to invest ₹35,000 crore by 2047 to establish a robust network.

Under the National Waterways Act, 111 waterways have been designated as National Waterways (NWs) to promote inland water transport (IWT). The key developments include the construction

of terminals along the Ganga and Brahmaputra rivers and the implementation of the Indo-Bangladesh Protocol (IBP) route, which opens up alternative connectivity corridors, particularly benefiting the Northeast region.

Ketan Kulkarni, Deputy Managing Director, Gati Express and Supply Chain Pvt. Ltd, says as the government aims to boost logistics competitiveness, robust waterway infrastructure can reduce costs, achieve efficiency, and build an effective modal mix.

“It will positively impact companies from the freight-intensive sectors such as manufacturing, construction, retail, etc. Moreover, optimised coastal shipping and waterways pave the way for a robust multimodal transport ecosystem, the vision of the PM Gati Shakti National Master Plan,” Kulkarni says.

Beyond logistics, the government is also looking to promote ocean, coastal, and river cruises.

Shipping reforms are expected

to generate significant employment opportunities and strengthen India’s maritime capabilities with the cruise, shipbuilding, and ship repair industries, leading to huge job creation.

THE COMPETITION

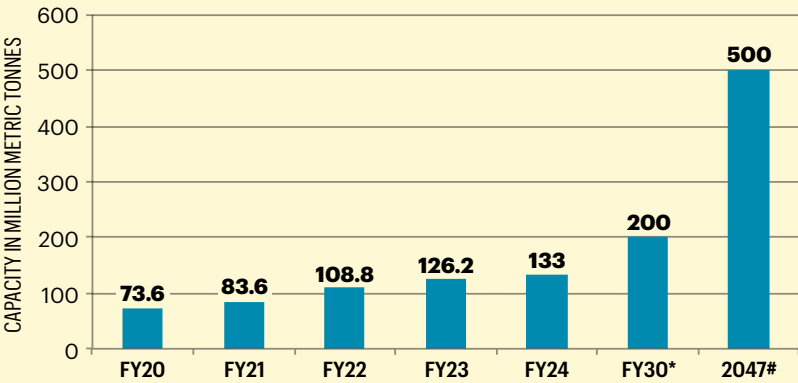
However, the journey ahead is fraught with challenges.

India’s 7,500-km coastline, along with 12 major and 187 minor ports, makes it an emerging hub for shipping and transshipment. Waterways are the cheapest mode of transport, costing ₹1.19 per tonne km compared to ₹2.28 on highways and ₹1.5 via railways.

What the current infrastructure requires now is a continued policy push. “There are infrastructure limitations when it comes to storage at ports and terminals, first- and last-mile connectivity, water channel depth, technology adoption in port operations, etc.,” says Kulkarni. But, he notes, it’s encouraging that

BIG TARGET

- Cargo movement on waterways has seen a CAGR of 22.1% from FY14 to FY24
- Coal, iron ore, iron ore fine, and fly ash make up 72% of total cargo moved on NWs



*MARITIME INDIA VISION 2030 TARGET;
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